ASEAN set to tighten new data center rules

送信者: EG Southeast Asia 受信日時: 2026-11-02 16:23

【メール原文】

Public backlash against data centers will push ASEAN governments to tighten rules. Malaysia, Thailand, and Indonesia are driving most of the region's ||||||||||||||||

Southeast Asia
Customize Email Preferences

ASEAN countries will tighten rules for new data centers

2 Nov 2026 02:21 EST Discover more on the Portal

*
ASEAN governments will impose tighter conditions on data center investment as growing pressure on water and electricity supplies and economic concerns fuel protests in Indonesia, Malaysia, and the Philippines.
*
Governments will favor selective restrictions over blanket moratoriums to protect investment and AI ambitions, with likely measures including stronger environmental requirements and conditions to boost local economic benefits.
*
Singapore will tighten most, followed by Malaysia, Thailand, and Indonesia, while Vietnam and the Philippines focus on expanding their smaller data center industries.

Public backlash against data centers will push ASEAN governments to tighten rules. Malaysia, Thailand, and Indonesia are driving most of the region's expected growth. They account for about 95% of the 9,939 MW under construction or planned across the six main ASEAN markets, according to Cushman & Wakefield data from the first half of 2026.

Development favors locations that can provide abundant land, electricity, and water alongside strong fiber connectivity. Proximity to Singapore and its soaring demand for AI and cloud services is an additional driver, particularly for Malaysia and Indonesia, as developers seek capacity beyond the resource-constrained city-state.

This rapid growth is prompting governments to reassess data center approvals as demand for electricity and water increases and economic benefits face greater scrutiny. The International Energy Agency projects that electricity consumption by data centers in Southeast Asia will more than double between 2024 and 2030. Malaysia's government forecasts that data centers' share of Peninsular Malaysia's electricity demand will rise from 7% in 2026 to 31% by 2035. Some residents in Batam (Riau Islands), Indonesia, suffered water cuts for three months recently while data centers nearby were seemingly unaffected. These concerns have sparked public protests in several countries (see below).

Competition for investment will limit how far tightening goes. Governments will seek to balance growing public concerns with competition for investment. Land- and resource-constrained Singapore and heavily

in-demand Malaysia (which has relatively abundant electricity, low population density, and proximity to Singapore) are likely to tighten rules more. Generous incentives for data center investments could also be rolled back. Nascent markets such as Vietnam and the Philippines will prioritize securing investment and catching up with regional peers.

Governments will prioritize selective restrictions over blanket moratoriums. Data centers are increasingly essential to AI adoption, business digitalization, and manufacturing advancements.

Singapore will keep new data center approval tightly limited. A moratorium on additional data centers was in place from 2019 to 2022. Developments now remain tightly controlled and subject to stringent energy and water efficiency standards. After the August 2026 application round, the government plans to review the need for another round by 2028, making earlier approvals unlikely.

Malaysia's huge appeal for data centers gives it room to tighten rules. The government faces growing pressure to manage rapid expansion and political priorities. Johor state, where the country's data centers are concentrated, saw Malaysia's first anti-data center protest by residents earlier this year. Johor is ASEAN's biggest data center hub and poised to become the fifth-largest globally.

Prime Minister Anwar Ibrahim wants to prevent the data center FDI success story from turning into a political lightning rod ahead of upcoming elections. A new data center bill, planned for next year, could require operators to build independent power generation and source around 30% of equipment locally.

Thailand is pausing new projects as it drafts stricter rules. Bangkok is weighing the benefits of attracting new investment against competing demands for electricity from other industries. In August, the government established a Data Center Business Policy Committee to set rules for electricity and water use and oversee licensing, but unlike Malaysia, Thailand has no plans to require independent power supplies. The committee halted 166 projects under construction or awaiting approval in September. In late October, it approved a draft of tougher standards to submit to cabinet in November, covering resource use, location, safety, and economic benefits. Approval is expected.

Public backlash could complicate Indonesia's Riau Islands data center hub plan. Jakarta has indicated that upcoming data center regulations will require investors to create opportunities for local businesses. The government also plans to establish data center hubs in the Riau Islands to reduce geographic concentration and capitalize on better water availability, lower population density, renewable energy potential, and proximity to Singapore. However, water shortages and recurring blackouts in Batam could complicate expansion and undermine public support. Ongoing tensions between Indonesia and Singapore over issues including haze pollution are also a watchpoint, as Singapore-based firms are making many of the planned investments in the Riau Islands.

A separate plan to confine data centers to industrial estates has sparked backlash from business groups. The Industry Ministry's opposition to halting a project in West Java also exposes tensions between central and regional authorities, which create more uncertainty.

Vietnam and the Philippines are less likely to introduce broad restrictions. Their ability to attract investment will depend heavily on reliable electricity and water supplies and adequate fiber connectivity. Manila likely worries that local pushback could halt new projects. Resource demand fueled opposition to a planned hyperscale data center in Iloilo, which was later canceled.

Peter Mumford
Practice Head, Southeast Asia
+65 6653.4316
mumford@eurasiagroup.net
Fadli Yusoff
Analyst, Southeast Asia
yusoff.ne@eurasiagroup.net
Olga Letticia
Associate, Southeast Asia
letticia.ne@eurasiagroup.net
Melinda Hoe
Associate, Southeast Asia
+65 6653.4318
hoe@eurasiagroup.net
Xiaomeng Lu
Director, Geo-technology
+1 202.316.7259
lu@eurasiagroup.net
EG Southeast Asia
southeastasia@eurasiagroup.net

Now on iOS and Android
Get the Eurasia Group app
Read anywhere · Receive notifications · Reach out to analysts
App Store
Google Play

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.
X-HG-DocID cmvysg39n5hx606mvzant0jgn

Opt Out | Customize Email Preferences